



INDIAN SOCIETY

MODULE - 8

STRUCTURAL CHANGE - INDUSTRIALISATION AND WORK

THE COLONIAL EXPERIENCE

- 1 Industrialization refers to the emergence of machine production, based on the use of inanimate power resources like steam or electricity.
- 2 Prime feature of industrial societies today is that a large majority of the employed population work in factories, offices or shops rather than agriculture.
- 3 Industrialization is not just about new machine based production but also a story of the growth of new social groups in society and new social relationships.
- 4 In other words it is about changes in the Indian social structure.
- 5 India's early industrialisation and urbanisation in the modern period were governed by colonial interests.



THE COLONIAL EXPERIENCE

- 6 In India the impact of the British industrialization led to deindustrialization in some sectors, shift from industry to agriculture and decline of old urban centres. For example,
- a Traditional exports of cotton and silk manufactures from India declined in the face of Manchester competition.
 - b There is decline of cities such as Surat and Masulipatnam while Bombay and Madras grew.
 - c When the British took over Indian states, towns like Thanjavur, Dhaka, and Murshidabad lost their courts and, therefore, some of their artisans and court gentry.
- 7 From the end of the 19th century, with the installation of mechanized factory industries, some towns became much more heavily populated.

THE CENSUS OF INDIA REPORT, 1911

The extensive importation of cheap European piecegoods and utensils, and the establishment in India itself of numerous factories of the Western type, have more or less destroyed many village industries. The high prices of agricultural produce have also led many village artisans to abandon their hereditary craft in favour of agriculture... The extent to which this disintegration of the old village organisation is proceeding varies considerably in different parts. The change is most noticeable in the more advanced provinces.

THE COLONIAL EXPERIENCE

- 8 Coastal cities such as Mumbai, Kolkata and Chennai were favoured. From here primary commodities could be easily exported and manufactured goods could be cheaply imported.
- 9 Colonial cities were the prime link between the economic centre or core in Britain and periphery or margins in colonised India.
- 10 Cities in this sense were the concrete expression of global capitalism. In British India for example

a Bombay was planned and re-developed so that by 1900 over three-quarters of India's raw cotton were shipped through the city.

b Calcutta exported jute to Dundee while Madras sent coffee, sugar, indigo dyes and cotton to Britain.



THE COLONIAL EXPERIENCE

11 For Indian nationalists the issue of economic exploitation under colonial rule was a central issue.

12 The Swadeshi movement strengthened the loyalty to the national economy.

13 Modern ideas made people realise that poverty was preventable.

14 Indian nationalists saw rapid industrialisation of the economy as the path towards both growth and social equity.

15 Development of heavy and machine-making industries, expansion of the public sector and holding of a large cooperative sector were considered very important.

In 1938, as Congress, President Netaji Subhas Chandra Bose set up a National Planning Committee.



INDUSTRIALIZATION IN INDEPENDENT INDIA

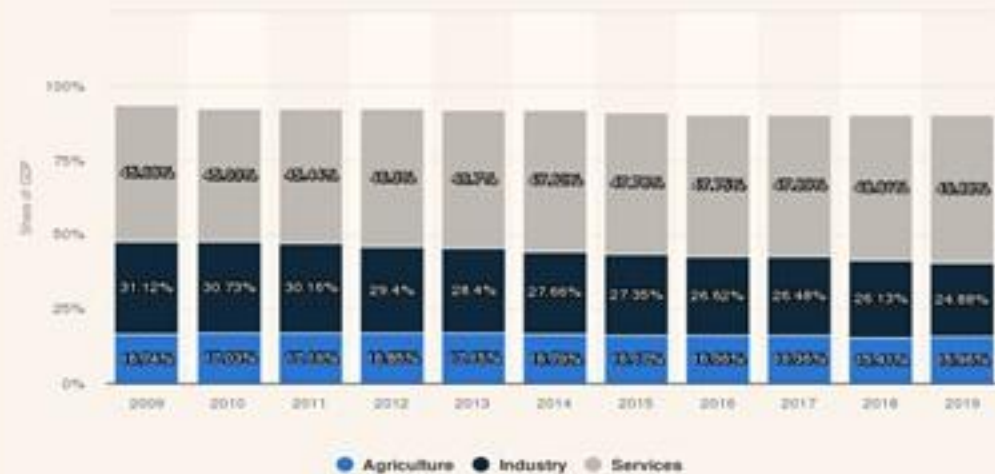
1 In developed countries, the majority of people are in the services sector, followed by industry and less than 10% are in agriculture (ILO figures).

2 In India, in 2019, nearly 42% were employed in the primary sector, 26% in the secondary sector, and 32% in the tertiary sector.

3 Considering the contribution of these sectors to economic growth, the share of agriculture has declined sharply, and services contribute approximately more than half.

4 This is a very serious situation because it means that the sector where the maximum people are employed is not able to generate much income for them.

India: Distribution of gross domestic product (GDP) across economic sectors from 2009 to 2019



Source:
World Bank
© Statista 2020

Additional information:
India: World Bank

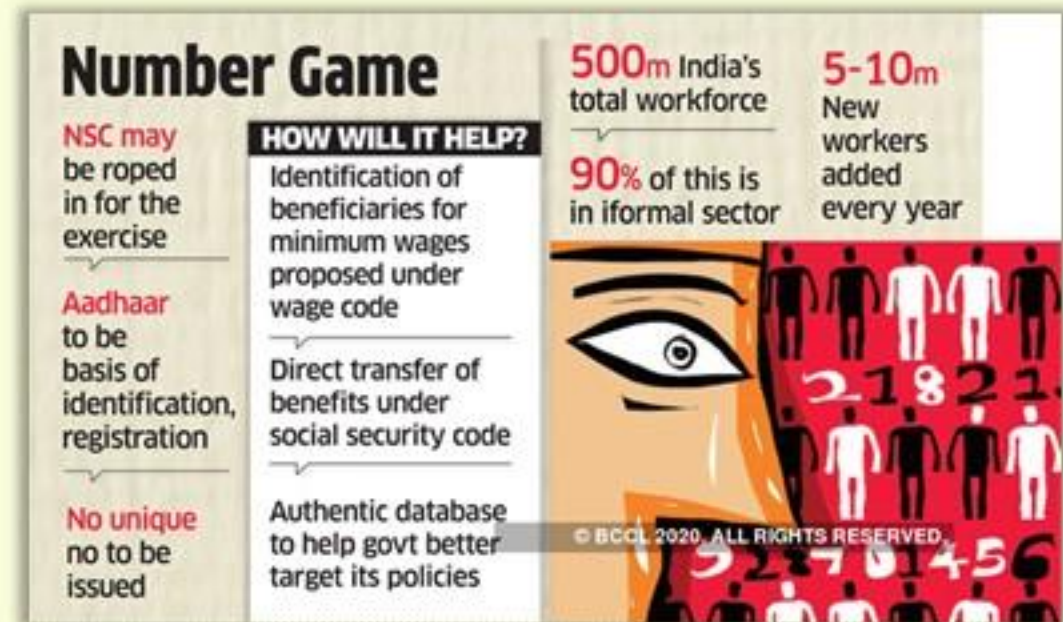
INDUSTRIALIZATION IN INDEPENDENT INDIA

5 In developed countries, the majority are formally employed. In India, over 50% of the population is self-employed, only about 14% are in regular salaried employment, while approximately 30% are in casual labour.

6 Organised sector consists of all units employing ten or more people throughout the year.

7 These have to be registered with the government to ensure that their employees get proper salaries or wages, pension and other benefits.

8 In India, over 90% of the work, whether it is in agriculture, industry or services is in the unorganised or informal sector.



INDUSTRIALIZATION IN INDEPENDENT INDIA

9 Social implications of this small size of the organised sector:

- a Very few people have the experience of employment in large firms that helps in upskilling and re-skilling
- b Very few Indians have access to secure jobs with benefits. Of those who do, two-thirds work for the government.
- c Since very few people are members of unions, a feature of the organised sector, they do not have the experience of collectively fighting for proper wages and safe working conditions.



INDUSTRIALISATION IN THE EARLY YEARS OF INDIAN INDEPENDENCE

- 1 First modern industries in India were cotton, jute, coal mines and railways.
- 2 After independence, the government took over the 'commanding heights of the economy.'
- 3 This involved defence, transport and communication, power, mining and other projects which only government had the power to do, and which was also necessary for private industry to flourish.
- 4 In India's mixed economy policy, some sectors were reserved for government, while others were open to the private sector.

- 5 But within that, the government tried to ensure, through its licensing policy, that industries were spread over different regions.

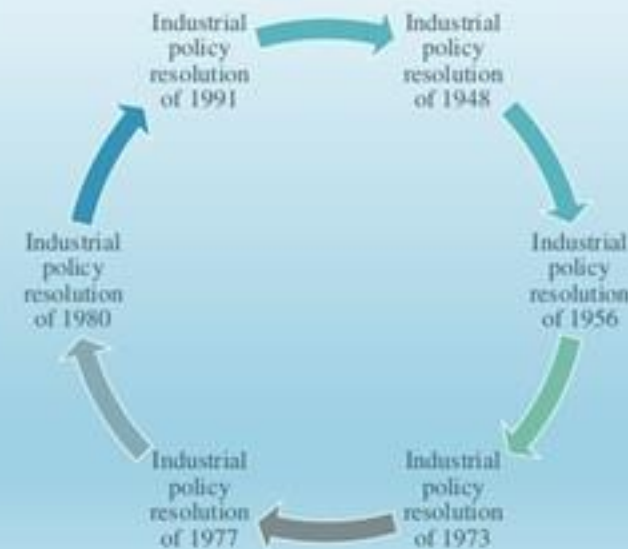


INDUSTRIALISATION IN THE EARLY YEARS OF INDIAN INDEPENDENCE

- 6** Before independence, industries were located mainly in the port cities like Madras, Bombay, Calcutta.
- 7** But since then, places like Baroda, Coimbatore, Bengaluru, Pune, Faridabad and Rajkot have become important industrial centres.
- 8** The government also tried to encourage the small-scale sector through special incentives and assistance.
- 9** Many items like paper and wood products, stationery, glass and ceramics were reserved for the small-scale sector.

- 10** In 1991, large-scale industry employed only 28 per cent of the total workforce engaged in manufacture, while the small-scale and traditional industry employed 72 per cent.

Industrial Policies & Resolutions in India



GLOBALISATION, LIBERALISATION AND CHANGES IN INDIAN INDUSTRY

- 1 Since the 1990s, however, the government has followed a policy of liberalisation.
- 2 Private companies, especially foreign firms, are encouraged to invest in sectors earlier reserved for the government, including telecom, civil aviation, power etc.
- 3 As a result of liberalisation, many Indian companies have been bought over by multinationals.
- 4 At the same time some Indian companies are becoming multinational companies.
- 5 Government is trying to sell its share in several public sector companies, a process which is known as disinvestment.



GLOBALISATION, LIBERALISATION AND CHANGES IN INDIAN INDUSTRY

6 Many government workers are scared that after disinvestment, they will lose their jobs.

a In Modern Foods, which was set up by the government to make healthy bread available at cheap prices, and which was the first company to be privatised, 60% of the workers were forced to retire in the first five years.

7 More and more companies are reducing the number of permanent employees and outsourcing their work to smaller companies or even to homes.

8 For multinational companies, this outsourcing is done across the globe, with developing countries like India providing cheap labour.



GLOBALISATION, LIBERALISATION AND CHANGES IN INDIAN INDUSTRY

9 Because small companies have to compete for orders from the big companies, they keep wages low, and working conditions are often poor.

10 It is more difficult for trade unions to organise in smaller firms.

11 Almost all companies, even government ones, now practice some form of outsourcing and contracting.

12 At the same time as secure employment in large industry is declining, the government is embarking on a policy of land acquisition for industry.

13 These industries do not necessarily provide employment to the people of the surrounding areas, but they cause major pollution.



HOW PEOPLE FIND JOBS

1 Nowadays, the importance of the jobber has come down, and both management and unions play a role in recruiting their own people.

2 There is growing contractualisation of labour.

3 Employment opportunities have two important components:

- job in an organisation
- Self-employment



HOW PEOPLE FIND JOBS

4 The schemes of the Government of India, like 'Stand Up India Scheme' and 'Make in India' are programs by which employment and self-employment will become possible.

5 These schemes are helpful to people of the marginalised sections of the society, like SC, ST and other backward classes.

6 However, the contractor system is most visible in the hiring of casual labour for work at construction sites, brickyards, and so on.



HOW IS WORK CARRIED OUT

- 1 In India, there is a whole range of work settings from large companies where work is automated to small home-based production.
- 2 Workers in textile mills, which is one of the oldest industries in India, often described themselves as extensions of the machine.
- 3 The more mechanized an industry gets, the fewer people are employed, but they too have to work at the pace of the machine.
- 4 Workers suffer a sense of alienation and self-dispossession.
- 5 If we consider the services sector. Software professionals are middle class and well educated.



HOW IS WORK CARRIED OUT

6 Their work is supposed to be self-motivated and creative.

a As a result of high working hours, in places like Bengaluru, Hyderabad and Gurugram, where many IT firms or call centres are located, shops and restaurants have also changed their opening hours, and are open late.

b If both husband and wife work, then children have to be put in crèches.

c The joint family, which was supposed to have disappeared with industrialisation, seems to have re-emerged, as grandparents are roped in to help with children.

7 In the recent knowledge economy, automation is seen as both threat and opportunity for workers.



WORKING CONDITIONS

1 The government has passed a number of laws to regulate working conditions. If we consider mining

a Coal mines alone employ 5.5 lakh workers.

b The Mines Act 1952 specifies the maximum number of hours a person can be made to work in a week, the need to pay overtime for any extra hours worked and safety rules.

c These rules may be followed in big companies, but not in smaller mines and quarries

d Moreover, sub-contracting is widespread. Many contractors do not maintain proper registers of workers, thus avoiding any responsibility for accidents and benefits.



WORKING CONDITIONS

e After mining has finished in an area, the company is supposed to cover up the open holes and restore the area to its earlier condition. But they don't do this.

f Workers in underground mines face very dangerous conditions, due to flooding, fire, the collapse of roofs and sides, the emission of gases and ventilation failures.

g Many workers develop breathing problems and diseases like tuberculosis and silicosis

h Those working in over ground mines have to work in both hot sun and rain, and face injuries due to mine blasting, falling objects etc.

2 In many industries, the workers are migrants. The fish processing plants along the coastline employ mostly single young women from Tamil Nadu, Karnataka and Kerala.



WORKING CONDITIONS

- 3 Ten-twelve of them are housed in small rooms, and sometimes one shift has to make way for another.
- 4 In 1992, 85% of the 2 lakh Oriya migrants in Surat were single. These migrants have little time to socialise and whatever little time and money they can spend is with other migrant workers.
- 5 From a nation of interfering joint families, the nature of work in a globalised economy is taking people in the direction of loneliness and vulnerability.
- 6 Yet for many young women, it also represents some independence and economic autonomy.



WORKING CONDITIONS

- 7 Home-based work is an important part of the economy. This includes the manufacture of lace, zari or brocade, carpets, bidis, agarbattis and many such products.
- 8 This work is mainly done by women and children. An agent provides raw materials and also picks up the finished product.
- 9 Home workers are paid on a piece-rate basis, depending on the number of pieces they make.



TRADE UNIONS

- 1 Post-independence, trade unions became increasingly tied with party politics.
- 2 Rise of regional parties has led to a proliferation in their numbers with each party opting to create its trade union.
- 3 However, their influence has been somewhat reduced after the liberalisation post-1991.
- 4 Issues like labour code reforms and minimum wage remains a political hot potato due to the opposition from the trade union leadership.
- 5 India has also witnessed different unions coming together to address a common issue.



TRADE UNIONS

- 6 These include the crippling railway strike of 1974 and the Great Bombay textile strike, 1982.
- 7 However, such strikes are seen to get less public support post-1991.
- 8 There is also an increased focus on informal labour. This is due to the particularly vulnerable situation of unorganised labour.
- 9 All major trade unions have registered an increase in their membership from the unorganised sector.



PROBLEMS FACED BY THE LABOUR MOVEMENT POST INDEPENDENCE



PROBLEMS FACED

1 Uneven growth:

- They are concentrated in the metropolises, largely catering to organised sector.
- Rural Agricultural labour and small scale labour are underrepresented.

2 Low membership:

- Trade union membership is growing, but the vast majority of India's labour is not part of any trade unions.
- This reduces their collective bargaining power.

3 Weak financial position:

- Membership fees are set too low (25 paise) by the Trade Union Act, 1926.
- They are particularly disadvantaged against corporate lobbying groups that are flush with cash.

- #### 4 Political leadership:
- Careerist politicians and vested political agenda mean that worker interests are side-lined.
 - Since the leadership may not be from the labour force, they are held captive to party politics. This lead to further exploitation.

PROBLEMS FACED BY THE LABOUR MOVEMENT POST INDEPENDENCE



PROBLEMS FACED

- 9 Lack of public support:**
- Especially post 1991, trade unionism is looked down as an impediment to growth and development.
 - This has led to a general ebbing of the movement across the country.

- 8 Diverse nature of labour:**
- Most unions don't have properly differentiated organisational structure to cater to different classes of labour.
 - Eg: Differences between agricultural, formal and informal labour.

- 5 The multiplicity of unions:**
- Bargaining power is diluted and it is easy for employers to divert the attention of the labour.

- 6 Inter-union rivalry:**
- There are conflicts of interest and party politics between the unions.

- 7 The problem of recognition:**
- Employers are under no obligation to give them recognition.
 - This means that docile unions get recognition and genuine ones may be side-lined.

LABOUR REFORMS

1

- As part of labour reform initiatives, the labour ministry has decided to amalgamate 44 labour laws into four labour codes —

a

ON WAGES

- Subsume legislations like The Minimum Wages Act, the Payment of Wages Act, the Payment of Bonus Act, the Equal Remuneration Act.
- Aims to provide a national floor for minimum wage.

b

INDUSTRIAL RELATIONS

- Subsumes the Trade Unions Act, 1926, the Industrial Employment (Standing Orders) Act, 1946, and the Industrial Disputes Act, 1947.
- To set the stage for the way labour unions can protect labour interests.
- To abolish deadlocks and promote worker welfare while promoting investment.

Liberalization of Labour reforms

Cabinet approves a uniform Code of Wages Bill



Universalizes provision of minimum wages



LABOUR REFORMS

c SOCIAL SECURITY

- Merge important legislations like Employees' Provident Fund and Miscellaneous Provisions Act, Employees' State Insurance Corporation Act, Maternity Benefits Act, Building and Other Construction Workers Act and the Employees' Compensation Act

d OCCUPATIONAL SAFETY, HEALTH & WORKING CONDITIONS

- Replace legislations like the Factories Act, the Mines Act and the Dock Workers (Safety, Health and Welfare) Act.
- Put in place a uniform regime across the nation to ensure industrial safety.

2 Recent years has seen an erosion of powers of most labour unions.

3 Though labour reforms are the need of the hour, every reform should strike a perfect balance between labour welfare and investment-led development.

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